IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP/843 & 844/CAA/2020
IN
CA/962 & 963/CAA/2019

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Arrangement (Demerger)*

Between

FREIGHT SYSTEMS (INDIA) PRIVATE LIMITED
CIN: U63010TN1993PTC062664
SUPER A7, THIRUVIKA INDUSTRIAL ESTATE,
FIRST FLOOR RATHNA TOWER 1,
GUINDY, CHENNAI - 600032

...Demerged Company

And

FSL INTEREM RELOCATIONS INDIA PRIVATE LIMITED
CIN: U60200TN2015FTC100364
SUPER A7, THIRUVIKA INDUSTRIAL ESTATE,
FIRST FLOOR RATHNA TOWER 1,
GUINDY, CHENNAI - 600032

... Resulting Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

CORAM:

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

C O R R I G E N D U M

In the order dated 06.04.2022, certain inadvertent typographical error had crept in and as such in exercise of powers conferred under Rule 154 of the National Company Law Tribunal Rules, 2016, the Order dated 06.04.2022 is rectified as under :

In Para 11 (Vii) of Page 13, the following lines

"That the Appointed date for the Scheme shall be "01.04.2020" as mentioned in clause 3.2 of Part II of the SCHEME itself".

shall be read as

"That the Appointed date for the Scheme shall be **01.04.2018** as mentioned in clause 3.2 of Part II of the SCHEME itself".

sd

SAMEER KAKAR
MEMBER (TECHNICAL)

-SD-

R. SUCHARITHA
MEMBER (JUDICIAL)

DATED AT CHENNAI ON THIS 10TH DAY OF JUNE 2022

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Order Pronounced on ***6th April 2022***

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Pawan Jhabakh, Advocate

COMMON ORDER

***Per:* R. SUCHARITHA, MEMBER (JUDICIAL)**

Under consideration are two Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the Petitioner Companies viz. **Freight Systems (India) Private Limited***(hereinafter referred to as "Demerged Company")* and **FSL Interem Relocations India Private Limited***(hereinafter referred to as "Resulting Company")*and their respective shareholders and creditors under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(hereinafter 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter 'the Rules') pursuant to the Scheme of Arrangement (hereinafter the 'SCHEME') proposed between the Companies and the said Scheme is also annexed as "Annexure A4" to the typed set filed along with the CP/CAA/843 & 844/CHE/2021.

2. The Registered office address of the Demerged Company is situated at Chennai, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Demerged Company had filed a company application bearing CA/962 & 963/CAA/2019 before the NCLT, Chennai Bench and directions were issued vide order dated 30.09.2019.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Demerged Company had filed its First Motion Application vide CA/962/CAA/2019 seeking directions for holding of meeting of the Unsecured Creditors and in respect of the Resulting Company in CA/963/CAA/2019 seeking directions for holding of meeting of the Unsecured Creditors.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 30.09.2019, to convene the meetings of the Unsecured Creditors of the Demerged Company on 22.11.2019 at Super A7, Rathna Tower, 1st Floor, Thiru – Vi- Ka Industrial Estate, Guindy, Chennai – 600 032 at 11:00 AM and to convene the meetings of the Unsecured Creditors of the Resulting Company on 22.11.2019 at Super A7, Rathna Tower, 1st Floor, Thiru – Vi-Ka Industrial Estate, Guindy, Chennai – 600 032 at 11:00 AM. Accordingly the Tribunal has appointed Mr.P.Vijay Kumar as Chairman and Mr.P.Sanjay Nahar as Scrutinizer for the said meetings. Subsequent to the said order, the Demerged Company has filed the present Petition before this Tribunal on 20.12.2019 for sanction of the Scheme of Arrangement by this Tribunal.

3.3. The Chairman submitted his Report on the above said meetings held on 29.11.2019. From the Chairman's Report, it is observed that the Unsecured Creditors of both the Demerged Company and the Resulting Company had consented in favour of the Scheme. The said Chairman's report is also annexed at "Annexure A9" to the typed set filed along with the Petition.

4. RATIONALE OF THE SCHEME

4.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. The demerger would facilitate focused growth, operational efficiencies, business synergies and increased operational and customer focus in relation to the Demerged undertaking in the Resulting Company. The demerger would thus provide a platform for having a concentrated approach towards development of the Demerged Undertaking thereby resulting in better strategic, operational and administrative efficiency.

b. The demerger, transfer and vesting of the Demerged Undertaking will enable the Resulting Company and provide a platform to raise funds required for the operations of the Demerged Undertaking. The Demerger would facilitate and ensure "ease of business" and also enable focused growth of the Demerged Undertaking.

c. The proposed demerger, transfer and vesting of the Demerged Undertaking will enhance value for

shareholders and allow a focused strategy in operation of the Demerged Undertaking which would be in the best interest of the Demerged Company and the Resulting Company, shareholders, creditors and all persons connected therewith.

d. There is no likelihood that the interests of any shareholder or creditor of either the Demerged Company or the Resulting Company would be prejudiced as a result of the Scheme. The Demerger, transfer and vesting of the Demerged Undertaking of the Demerged Company in to the Resulting Company will not impose any additional burden on the members of the Demerged Company or the Resulting Company. The Scheme is not in any manner prejudicial or against public interest and would serve the interest of all shareholders, creditors and stakeholders.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 27.04.2021 has directed the Resulting Company to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Reserve Bank of India and (iv) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in *"Business Standard"*, English (Chennai Edition) and *"Dina Mani"* Tamil (Chennai Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 16.06.2021 and a perusal of the same discloses that the Demerged Company has effected paper publication as directed by the Tribunal in one issue of *"Business Standard"* (Chennai Edition) in English and *"Dina Mani"* (Chennai Edition) in Tamil on 13.05.2021. It is also seen that notices have been also served to (i) The Regional Director, Southern Region on 13.05.2021(ii) Registrar of Companies Chennai on13.05.2021(iii) Income Tax Department, Circle 2(1), Chennai on 13.05.2021 and (iv)The Reserve Bank of India on 13.05.2021. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 08.01.2020 and has stated that Para 9 of Part III of the Scheme provides for the protection of the interest of the employees/staff/workmen of the Demerged Company. It is also stated that as per the report of Registrar of Companies, Chennai, both the

Demerged and Resulting Company are regular in filing the statutory returns and there is no prosecution filed, no complaints pending and no inspection / investigation has been ordered / pending in respect of both the companies.

7.2. Thus, after examining the Scheme, except the observations as extracted *supra*, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.3. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. The Income Tax Department and the Reserve Bank of India do not have any objection to the sanction of the Scheme.

7.4 Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.5 In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

8. **VALUATION REPORT**

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Kandan & Nambi,

Chartered Accountants Registered Valuer dated 01.07.2018, wherein it has been recommended by the Independent Valuer as follows;

- For every 10,000 equity shares of face value of Rs.10 in Freight Systems (India) Private Limited, 39 (rounded off) equity shares of face value of face of Rs.100 in FSL Interem Relocations India Private Limited is to be issued.

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of each of the Petitioner Companies are placed at pages 334 and 335to the typed set filed along with the petition.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated

amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "A4" along with CP/843 & 844/CAA/2020.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Clause 12.1 of Part III of the SCHEME herein the shares in the Resulting Company to which they are entitled under the said SCHEME.

(vi) That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Demerged Company.

(vii) That the Appointed date for the Scheme shall be **01.04.2020** as mentioned in clause 3.2 of Part II of the SCHEME itself.

(viii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(ix) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-
SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-
R. SUCHARITHA
MEMBER (JUDICIAL)

Sriram Ananth.V